

Band-Edge Reversal Playbook

A study companion for the RRK Reversal King overlay. This playbook teaches you to read one thing precisely: what happens on the bars where price presses a long-horizon Donchian extreme and either holds or fails. It describes structures that have already completed. It does not predict, promise, or advise.

1. Why band edges deserve their own attention

A Donchian channel plots the highest high and lowest low of the last N bars. Its edges are therefore not lines drawn by opinion - they are the literal record of the most extreme prices the market has accepted recently. When price returns to an edge, something specific is being tested: whether the old extreme still matters. RRK is built around that test. The channel length of 1,400 bars means an edge touch references roughly five and a half years of daily history - a genuinely rare event rather than a weekly occurrence.

The core principle: a touch is not a signal. Contact with the band is where observation begins, never where it ends. What happens on the following bars determines which structure, if any, completed.

2. The four questions every edge candidate must answer

Edge?	Prior bar's high reached the channel top	Price merely elevated near edge?
Rejection?	Close below the prior bar's close	Doji or up-close at the highs
Reclaim?	Close beyond the prior bar's low, back inside the band	Close holds above prior low
Frame not-collapse?	Slow RMA(600) still below price AND medium RMA(400) still below the fast trend line	Broken averages: the frame

All four answers must be YES on the same closed bar before RRK prints an RS marker at the upper edge. The RB marker at the lower edge is the exact mirror: press of the lowest low, bullish close, reclaim of the prior bar's high, same context rules.

3. Reading the result honestly

When a marker prints, it states a fact about completed bars: a rejection-with-reclaim occurred at a multi-year extreme inside a supportive trend frame. It does not state what follows. Price may reverse for weeks, digest sideways for days, or ignore the structure entirely. The marker ends its job at description; your process - sizing, stops, exposure - begins there and belongs entirely to you.

Silence is also information. On most charts most days RRK marks nothing, because most bars fail at least one of the four questions. That scarcity is the design working, not the design failing.

4. The momentum layer: OB and OS dots

RRK plots a dot when RSI(14) crosses up through 75 (OB) or down through 25 (OS), throttled by an eight-bar cooldown. These dots record that momentum entered a historically lopsided zone. In strong trends RSI can stay pinned near an extreme for long stretches; in ranges the thresholds get crossed repeatedly. Dots gain meaning when read against location: an extreme-momentum reading printed while price sits at a 1,400-bar band edge describes a different situation from the same dot mid-range.

5. Known failure modes

ge printing repeated shallow rejections while the trend continues	Each rejection looks like the last one that 'worked'; the one
exactly where textbook pullbacks end	Context filters reject these bars by design, so some real revers
s flatten and intertwine	'Trend' language loses meaning and both pullback and reversa

6. A 30-day observation protocol

Week 1 - Calibrate: pick three liquid symbols. Each weekend, scroll back through the week's bars and locate every edge press. Note by hand which passed questions 1-4 and why. Week 2 - Structure journaling: for each completed marker or near-miss, write one sentence describing the structure and one sentence describing what the context lines showed. No outcome notes yet - structure only. Week 3 - Context drill: repeat, but this time record what the RMA(400)/RMA(600) relationship looked like on each candidate bar. Week 4 - Review: reread your entries, then check (in hindsight) how each structure resolved. The goal of the month is fluency in the vocabulary, not conclusions about profitability - four weeks is a sample too small for any such conclusion, and none is needed to read charts better.

Quick glossary

Edge press	A bar whose high (or low) reaches the Donchian band
Rejection-with-reclaim	Press followed by an opposite-direction close beyond the prior bar's extreme, back inside the band
RS / RB	The completed structure at the upper / lower edge, all four conditions met
OB / OS dot	RSI(14) crossing 75 up / 25 down, eight-bar cooldown
Context lines	EMA(9/20) trend, RMA(400) medium, RMA(600) slow - the arbiters of condition 4

RRK Reversal King is a charting tool. It describes structures that have already completed on closed bars. It does not predict markets, guarantee outcomes, or constitute financial advice. Trading involves substantial risk of loss. Demo phase: free access via reversalking.io during the demo period.